

[INCOMPLETE] Chapter 4: Market Forces of Supply and Demand

Markets and Competition

- A **market** is a **group of buyers and sellers** of a particular good or service
- A **competitive market** is a market with **so many** buyers and sellers that each one has a **negligible impact** on the market price
- A **monopoly** is a market with a **single seller**, who **sets the price** rather than taking it as given

Demand

- The **quantity demanded** of a good is the amount that buyers are **willing and able to purchase**
- The **law of demand** states that, other things being equal, the **quantity demanded** of a good **falls** when the **price** of the good **rises**
- A **demand schedule** is a **table** showing the **relationship between the price of a good and the quantity demanded**, holding everything else constant
- A **demand curve** is a **graph** of the relationship between the price of a good and the quantity demanded
- **Market demand** is the **sum of the individual demands** of every buyer in the market, and the market demand curve is found by adding the individual curves horizontally

Factors that Shift a Demand Curve

- Income
- Prices of related goods
- Tastes
- Expectations
- Number of buyers

Normal and Inferior Goods

- A **normal good** is one for which **demand rises when income rises**
- A **inferior good** is one for which **demand falls when income rises**